

Blockmediary: Trade Escrow Agreement

BEEM063 FinTech Hackathon
University of Exeter

Note on This Template

This is a working draft of the Trade Escrow Agreement, not a final legal document, and qualified legal counsel should be consulted before it is used with real parties or real funds. Fields shown in square brackets must be completed for each individual deal before that deal's version of the Agreement is sent to the parties. Sections marked as an open discussion point are decisions the team has not yet finalised and are shown here as italicised notes; these notes should be removed once the corresponding decision has been made and before any version of the Agreement is sent to real counterparties. The Agreement takes effect as of the date on which the last of the three parties records electronic approval within the Blockmediary platform.

Parties

This Trade Escrow Agreement is entered into between the Buyer, the Seller, and Blockmediary. The Buyer is identified in Schedule 1 by full legal name, registered address or country of residence, and wallet address. The Seller is identified in Schedule 1 on the same basis. Blockmediary is identified by its legal entity name and registered address, also recorded in Schedule 1. The Buyer and Seller are together referred to as the Parties. Blockmediary acts as the escrow operator under this Agreement and is not a principal to the underlying trade between the Buyer and the Seller.

Recitals

- A. The Buyer and Seller have agreed to a commercial transaction for the sale and purchase of goods described in Schedule 1, referred to as the Trade, on terms recorded in their underlying sale contract.
- B. The Parties wish to use the Blockmediary platform to manage payment for the Trade through a smart contract documentary escrow, under which the Buyer's payment is held on chain and released to the Seller upon verified presentation of compliant trade documents.
- C. This Agreement sets out the terms on which Blockmediary operates the escrow, the document release rules, and the rights of the Parties in the event of discrepancy, objection, or dispute.
- D. This Agreement is separate from, and does not replace, the underlying sale contract between the Parties. Blockmediary is not a party to that contract and has no liability for the underlying trade.

1. Definitions

In this Agreement, the following defined terms apply. The Audit Ledger means Blockmediary's append only off chain record of every state transition, reviewer decision, and on chain transaction relating to this Deal. The Blockchain means the specific Base network deployment, testnet or mainnet as specified in Schedule 1, on which the Escrow Contract is deployed. A Compliant Presentation means a presentation of Required Documents that satisfies all Release Rules specified in Schedule 1, as determined by Blockmediary's document verification process. The Deal means the specific escrow transaction governed by this Agreement, identified by the Deal ID recorded in Schedule 1. A Discrepancy means a deficiency in a presented document that prevents a Compliant Presentation, as particularised in a Discrepancy Notice. A Discrepancy Notice means a written notice from Blockmediary to the Seller identifying each specific Discrepancy in a submitted document set. The Escrow Amount means the amount in the Settlement Token, and its fiat equivalent at the agreed rate, held by the Escrow Contract, as specified in Schedule 1. The Escrow Contract means the smart contract deployed at the address specified in Schedule 1 on the Blockchain that holds the Escrow Amount and enforces state transitions. The Escrow Specification means the canonical structured document generated at deal setup, identified by the hash recorded in Schedule 1, that is authoritative for the Release Rules and the required document types; this Agreement incorporates the Escrow Specification by reference. A Notice of Release means Blockmediary's written notification to the Parties that a Compliant Presentation has been determined and that the Escrow Amount will be released subject to the Objection Window. The Objection Window means the period specified in Schedule 1, defaulting to forty eight hours, following a Notice of Release, during which the Buyer may raise a valid Permitted Objection. A Permitted Objection means an objection by the Buyer during the Objection Window on one or more of the grounds specified in clause 7.2. The Release Rules mean the document compliance conditions specified in the Escrow Specification and Schedule 1 that must be satisfied for the Escrow Amount to be released to the Seller. The Required Documents mean the trade documents specified in Schedule 1 that the Seller must present to trigger a compliance determination. The Settlement Token means the stablecoin specified in Schedule 1 in which the Escrow Amount is denominated and released. The Shipment Deadline means the date specified in Schedule 1, being the latest date by which the Required Documents must evidence shipment. The Trade Escrow Agreement, or the Agreement, means this document including all Schedules.

2. The Escrow Arrangement

2.1 Nature of the Escrow

Blockmediary operates a documentary escrow. The Buyer deposits the Escrow Amount on chain, Blockmediary verifies whether the Seller's presented documents satisfy the Release Rules, and

the Escrow Amount is then released to the Seller upon a Compliant Presentation, subject to the Objection Window, or returned to the Buyer on a Refund Condition.

2.2 Blockmediary's Role

Blockmediary acts as an independent escrow operator and document verification service. It is not a bank, payment institution, or e money institution; it is not a party to the Parties' underlying sale contract; it is not a guarantor of the quality, condition, or title of the goods; and it is not an issuing bank or confirming bank within the meaning of UCP 600 (International Chamber of Commerce, 2007). Blockmediary's verification is based on the face of the documents presented. It does not inspect goods, verify physical delivery, or investigate whether the Seller's representations in the documents are true.

2.3 UCP 600 Inspired Release Logic

Blockmediary's Release Rules are inspired by the International Chamber of Commerce's Uniform Customs and Practice for Documentary Credits, UCP 600, but this Agreement is not a letter of credit and Blockmediary is not an issuing bank (International Chamber of Commerce, 2007). Where this Agreement is silent, UCP 600 principles provide interpretive guidance but are not binding. The Escrow Specification remains authoritative.

2.4 Electronic Document Acceptance, Minimum Viable Product Scope

For this Deal, the Seller must present scanned originals of the Required Documents, being high resolution portable document format images of physically signed originals. Electronic transferable records, including electronic bills of lading, are not accepted under this Agreement unless Schedule 1 expressly specifies an Electronic Trade Documents Act qualifying electronic system. *Open discussion point: post minimum viable product, add an electronic bill of lading pathway with the corresponding statutory representation clause.*

3. Deal Setup and Approval

3.1 Escrow Specification

The Escrow Specification at Schedule 1 was generated by Blockmediary based on the trade terms provided by the party or initiating platform identified in Schedule 1. The Parties confirm that the Escrow Specification accurately reflects the agreed trade terms. If there is a conflict between the Escrow Specification and the underlying sale contract, the Escrow Specification governs for the purposes of this Agreement and the Release Rules.

3.2 Party Approval

This Agreement takes effect once all three parties have recorded their approval in the Blockmediary platform. Each Party agrees that their electronic approval, whether by wallet signature, click acceptance, or another method confirmed in the platform, constitutes a valid and binding electronic signature under the Electronic Communications Act 2000 and, where applicable, the eIDAS 2.0 Regulation (UK Government, 2000; European Parliament and Council, 2024). *Open discussion point: confirm the signature method to be used, whether a wallet based sign in with Ethereum signature, a third party signing platform, or click wrap acceptance, and update this clause accordingly.*

3.3 Initiating Party

Where this Deal was initiated by a platform or intermediary on behalf of the Buyer and Seller, the following applies:

This Deal was initiated by the Initiator named in Schedule 1 on behalf of the Buyer and Seller. The Initiator is not a principal to this Agreement and has no right to receive the Escrow Amount. Know your customer and know your business verification of the Buyer and Seller has been conducted either directly by Blockmediary or by the Initiator under a written reliance agreement made under regulation 39 of the Money Laundering Regulations 2017 (UK Government, 2017), as recorded in Schedule 1.

4. Funding

4.1 Buyer Deposit

The Buyer shall deposit the Escrow Amount in the Settlement Token to the Escrow Contract address specified in Schedule 1 on the Blockchain on or before the Funding Deadline. The deposit is made by the Buyer's wallet address calling the deposit function on the Escrow Contract.

4.2 Funds Locked

Upon confirmation of the deposit on chain, the Escrow Contract will reflect the Funded state. Blockmediary will notify both Parties. The Seller may then proceed to ship goods and prepare the Required Documents.

4.3 Custody Position

The Escrow Amount is held by the Escrow Contract rather than in an account or wallet Blockmediary itself operates, and Blockmediary does not route the Escrow Amount through a customer wallet under its direct control. This describes the architecture rather than a settled regulatory classification. Blockmediary can, through the releaser role functions, being the record verdict and refund functions, determine when the Escrow Amount moves, and this capability may itself be treated by a regulator as an indicator of custody or control regardless of where the funds technically sit (Transakt, 2026). Blockmediary does not represent to the Parties that this architecture has been confirmed as non custodial by any regulator, and its custody classification and operating model may be updated as regulatory guidance develops.

4.4 Know Your Customer, Sanctions, and Export Controls Gate

The Buyer's deposit will be blocked unless each of the following conditions is satisfied before funding.

- (a) Both Parties have completed know your customer and know your business verification to Blockmediary's satisfaction.
- (b) Neither Party, nor any wallet address associated with either Party, appears on applicable sanctions lists maintained by the Office of Foreign Assets Control, the United Nations, His Majesty's Treasury, or the United Arab Emirates.
- (c) The goods described in Schedule 1 are not subject to an export licence requirement under the Export Control Order 2008, the European Union's Dual Use Regulation 2021/821, or the United States Export Administration Regulations or International Traffic in Arms Regulations (UK Government, 2008; European Parliament and Council, 2021; US Bureau of Industry and Security, 2024; US Directorate of Defense Trade Controls, 2024), or the Seller has confirmed that it holds a valid applicable export licence and has provided a copy.
- (d) The trade corridor is not a sanctioned or prohibited corridor.

Blockmediary will notify the Parties of any hold and its reason. A hold is not a termination of the Deal; the Parties may resolve the underlying issue and request re-screening.

5. Document Submission

5.1 Seller's Obligation

The Seller shall submit the Required Documents via the Blockmediary platform on or before the Submission Deadline specified in Schedule 1. The Seller warrants that all documents submitted are genuine, have not been altered, and accurately reflect the underlying trade.

5.2 Completeness

A presentation that omits any Required Document is an incomplete presentation and will not be assessed for compliance. Blockmediary will notify the Seller of any missing document so that it may be supplied before the Submission Deadline.

5.3 Document Format

Documents must be submitted as high resolution scanned files of paper originals, at a minimum resolution specified in Schedule 1. The Seller warrants that each scanned document is a true and accurate copy of the original and that the original has not been separately transferred or encumbered.

5.4 Shipment Deadline

Documents must evidence shipment on or before the Shipment Deadline specified in Schedule 1. The shipment date is determined from the transport document, being the bill of lading date, the air waybill issue date, or an equivalent, rather than from the Seller's representations. A shipment date after the Shipment Deadline is a Discrepancy.

6. Document Verification

6.1 Review Period

Blockmediary shall complete its document review and issue either a Notice of Release or a Discrepancy Notice within the review period specified in Schedule 1, defaulting to five banking days, of receipt of a complete presentation. This mirrors the five banking day standard set by UCP 600 Article 14(a) (International Chamber of Commerce, 2007). *Open discussion point: confirm or vary the default review period.*

6.2 Standard of Examination

Blockmediary examines documents on their face against the Release Rules in the Escrow Specification. Data in documents need not be identical across documents but must not conflict, consistent with UCP 600 Article 14(b); the invoice goods description must match the Escrow Specification exactly; amounts are compared in the token's minor units using deterministic code rather than manual calculation; and quantity tolerances apply of plus or minus five per cent on quantities not expressed in units, widening to plus or minus ten per cent only where the Escrow Specification uses the qualifier approximately or about, consistent with UCP 600 Article 30 (International Chamber of Commerce, 2007).

6.3 Compliant Presentation, Mandatory Release

If Blockmediary determines that a presentation is Compliant, it shall issue a Notice of Release. Upon expiry of the Objection Window with no valid Permitted Objection, Blockmediary must call the record verdict function on the Escrow Contract, moving the Deal to the Release Pending state. Once in that state, the release function on the Escrow Contract is permissionless: any party, including the Seller directly, may call it to transfer the Escrow Amount to the Seller's wallet.

Blockmediary has no discretion to delay or refuse release once a Compliant determination has been made and the Objection Window has expired with no valid objection. This is the core trust guarantee given to the Seller.

6.4 Review Deadline Failure

If Blockmediary fails to issue either a Notice of Release or a Discrepancy Notice within the review period, Blockmediary is precluded from later claiming that the documents were non compliant, consistent with the principle underlying UCP 600 Article 16 (International Chamber of Commerce, 2007). In that event, Blockmediary shall treat the presentation as Compliant and proceed to issue a Notice of Release. The Seller may contact Blockmediary support to trigger this remedy.

6.5 Human Reviewer Sign-Off

For any Deal with an Escrow Amount above the value cap specified in Schedule 1, or where artificial intelligence assisted extraction confidence falls below the threshold specified in Schedule 1 on any checked field, a human document reviewer must sign off on the compliance verdict before a Notice of Release is issued. *Open discussion point: confirm the default value cap.*

7. Objection Window and Release

7.1 Notice of Release

Upon a Compliant determination, Blockmediary will notify both Parties. The Buyer's Objection Window begins at the time of that notification.

7.2 Permitted Objections, Exhaustive List

The Buyer may raise an objection during the Objection Window only on the following grounds, referred to as Permitted Objections.

- (a) A Required Document is missing from the presentation.

- (b) A document field materially conflicts with the Escrow Specification, for example the seller name, buyer name, amount, currency, or port of loading or discharge, in a way not already identified by Blockmediary.
- (c) The transport document evidences shipment after the Shipment Deadline.
- (d) The Buyer has reasonable grounds, supported by evidence, to believe a submitted document is fraudulent.
- (e) A sanctions or know your customer compliance issue has arisen after the Notice of Release that was not known at the time of funding.
- (f) Both Parties mutually agree to request an amendment to the Release Rules, in which case clause 8.3 applies.

The following do not constitute Permitted Objections and will be rejected: a change of mind about the trade; dissatisfaction with the goods, unless an inspection certificate is itself a Release Rule and that certificate reports a deficiency; a wish to renegotiate price or terms after shipment; any subjective quality complaint not evidenced by a Required Document; and any ground not listed in (a) through (f) above. The Buyer's right to object is strictly limited to these grounds. This limitation is fundamental to the value the product provides to the Seller and is accepted by the Buyer at the time of approving this Agreement.

7.3 Raising a Permitted Objection

A Permitted Objection must be raised in writing via the Blockmediary platform during the Objection Window, stating the specific ground relied upon from clause 7.2, the specific document or documents and field or fields in issue, and, where clause 7.2(d) or 7.2(e) applies, supporting evidence. Blockmediary will assess whether the objection falls within clause 7.2. A determination that an objection is not a Permitted Objection will be recorded in the Audit Ledger together with reasons.

7.4 No Valid Objection

If the Objection Window expires with no Permitted Objection raised, or any objection raised is determined to fall outside clause 7.2, Blockmediary shall proceed with the record verdict function and the release function may then be called to transfer the Escrow Amount to the Seller.

8. Discrepancy, Amendment and Waiver

8.1 Discrepancy Notice

If Blockmediary determines that the presentation is Discrepant, it will issue a Discrepancy Notice to the Seller identifying each specific Discrepancy, within the review period set out in clause 6.1. Blockmediary will not rely on any Discrepancy not stated in the Discrepancy Notice.

8.2 Seller's Options on Discrepancy

On receipt of a Discrepancy Notice, the Seller may proceed in one of three ways.

- (a) Cure: re-present corrected documents before the Submission Deadline. A re-presentation restarts the review period under clause 6.1.
- (b) Request waiver: request that the Buyer waive the identified Discrepancy or Discrepancies and agree to release. The Buyer's waiver must be given in writing via the platform. A valid waiver authorises Blockmediary to treat the presentation as Compliant for the waived Discrepancy or Discrepancies and to proceed to release.
- (c) Accept refund: where the Seller cannot cure and the Buyer will not waive, the Seller may request a refund of the Escrow Amount to the Buyer, terminating the Deal.

8.3 Amendment

If both Parties wish to change the Release Rules or other material terms of this Agreement, being a mutual amendment, the Deal must be terminated, the Escrow Amount refunded to the Buyer, and a new Deal created with an updated Escrow Specification. This follows from the smart contract architecture: the Escrow Specification hash committed on chain cannot itself be altered without deploying a new deal.

9. Refund

9.1 Refund Conditions

Blockmediary shall call the refund function on the Escrow Contract and return the Escrow Amount to the Buyer's wallet if any of the following conditions, referred to as Refund Conditions, are met.

- (a) The Seller has not submitted a complete presentation by the Submission Deadline.
- (b) The Seller has submitted a Discrepant presentation that cannot be cured or waived, and the Seller requests a refund under clause 8.2(c).

- (c) Both Parties have mutually agreed in writing to cancel the Deal.
- (d) A dispute has been resolved in the Buyer's favour by the Dispute Forum specified in Schedule 2.
- (e) A sanctions or export control issue has been identified that prevents release under applicable law.

9.2 Refund Processing

A refund requires human reviewer sign off within Blockmediary before the refund function is called on chain. Refunds are typically processed within the period specified in Schedule 1, defaulting to two banking days, of a Refund Condition being confirmed. Blockmediary will notify both Parties.

10. Dispute Resolution

10.1 First Line: Blockmediary Determination

Any dispute about whether a Permitted Objection is valid, whether a Discrepancy exists, or whether a Refund Condition has been met shall first be determined by Blockmediary, acting as the independent escrow operator. Blockmediary's determination is made on the face of the documents against the Escrow Specification and is recorded in the Audit Ledger.

10.2 Escalation for Documentary Disputes: ICC DOCDEX

If a Party disputes Blockmediary's determination on a documentary matter, being whether a presentation is Compliant or Discrepant, either Party may refer the matter to the International Chamber of Commerce's Documentary Instruments Dispute Resolution Expertise procedure, known as DOCDEX (International Chamber of Commerce, 2015). A DOCDEX panel of three accredited experts will deliver a non binding expert opinion within thirty days. The Parties agree to consider the DOCDEX opinion in good faith before escalating further. DOCDEX is not arbitration; its decision is binding only if both Parties agree in advance. It is fast and lower cost than arbitration, which makes it well suited to documentary disputes specifically.

10.3 Escalation for Other Disputes: Arbitration

All other disputes arising out of or in connection with this Agreement, including disputes about fraud, breach of contract, or liability, shall, if not resolved by negotiation within the period specified in Schedule 2, be finally resolved by arbitration under the rules specified in Schedule 2, with the seat of arbitration and language of proceedings likewise specified there. *Open discussion*

point: confirm the forum. International Chamber of Commerce arbitration is the global standard for trade disputes; London Court of International Arbitration arbitration suits disputes seated in London specifically.

10.4 Escrow Hold During Dispute

When a Permitted Objection is raised and Blockmediary determines it is valid, or when a dispute is escalated, Blockmediary will not call the record verdict function, keeping the Deal in the Funded state. The Escrow Amount remains held on chain until the dispute is resolved or a Refund Condition is met. The Audit Ledger records the hold and its reason.

10.5 Governing Law

This Agreement, and any dispute arising from it, shall be governed by and construed in accordance with the laws of England and Wales, unless the Parties have specified an alternative governing law in Schedule 1.

Open discussion point: this default assumes Blockmediary is itself a contracting party to the Agreement. For a Deal conducted under the Dubai International Financial Centre partner-led pilot route, the Dubai Financial Services Authority authorised partner, rather than Blockmediary, may be the contracting regulated principal, in which case this Agreement's party structure and governing law default may need to sit beneath, or be superseded by, the partner's own contracting terms. For a Party domiciled in the European Union who may qualify as a consumer rather than a business counterparty, mandatory consumer protections of that Party's home jurisdiction may apply under Article 6 of the Rome I Regulation regardless of the governing law selected here. Both points require confirmation from qualified legal counsel before this Agreement is used for a Deal under either route.

11. Pause: Emergency Control

11.1 Permitted Grounds

Blockmediary may invoke the pause function on the Escrow Contract, which suspends all fund movements including the permissionless release function, only on the following grounds.

- (a) A critical vulnerability or exploit in the Escrow Contract has been identified or is reasonably suspected.
- (b) A regulatory direction, court order, or competent authority instruction requires suspension.
- (c) A sanctions or export control issue has been identified, after a Notice of Release has been issued, that prevents release under applicable law.

11.2 Prohibited Use

Blockmediary must not invoke the pause function as a routine operational control, to delay a compliant payout for administrative convenience, or for any reason not listed in clause 11.1. Use of the pause function outside these grounds, in circumstances where the Seller is entitled to release, is a breach of this Agreement.

11.3 Notification and Resolution

If the pause function is invoked, Blockmediary will notify both Parties immediately with the stated reason and an estimated resolution timeline, and will lift the pause as soon as the grounds are resolved. If the pause function is invoked on a Deal in the Release Pending state without a valid ground under clause 11.1, Blockmediary shall be liable to the Seller for any direct loss caused by the delay.

12. Representations and Warranties

Each Party represents and warrants to the others, as at the Effective Date and as at the date of funding, that the following statements are true.

- (a) They have the legal capacity and authority to enter into this Agreement and to perform their obligations under it.
- (b) This Agreement constitutes a valid and binding obligation enforceable against them.
- (c) They have successfully completed Blockmediary's know your customer and know your business process and all information provided is accurate and complete.
- (d) They are not subject to any sanctions imposed by the Office of Foreign Assets Control, the United Nations, His Majesty's Treasury, or the United Arab Emirates, nor any other legal prohibition that would prevent them from performing this Agreement.
- (e) In the case of the Seller only, the goods described in Schedule 1 do not require an export licence under applicable law, or the Seller holds a valid export licence and has provided a copy to Blockmediary.
- (f) In the case of the Seller only, all documents submitted via the Blockmediary platform are genuine, have not been altered, and accurately reflect the underlying trade.
- (g) In the case of the Buyer only, the Buyer's wallet address is within the Buyer's sole control and the Buyer has not authorised any third party to operate it for this Deal.

13. Data Protection

13.1 Data Controller

Blockmediary is the data controller for personal data processed in connection with this Agreement, including know your customer and know your business records, party names, and contact details. Processing is on the lawful basis of contract performance and, for sanctions and anti money laundering screening, legal obligation, under Article 6 of the General Data Protection Regulation (European Parliament and Council, 2016).

13.2 Off Chain Only

All personal data, including party names, identification documents, contact details, and wallet addresses linked to identity, is held in Blockmediary's off chain database and is never written to the Blockchain. The Escrow Contract stores only the Buyer and Seller wallet addresses, the Escrow Amount, the Deal state, and the Escrow Specification hash. *Open discussion point: if names are stripped from the Escrow Specification before hashing, this clause should confirm explicitly that the Escrow Specification hash is computed over a version of the specification containing no personal data.*

13.3 Retention

Personal data will be retained for the period specified in Schedule 1, defaulting to five years from the completion of the Deal, whether Released, Refunded, or Cancelled, to comply with the record keeping obligations under regulation 40 of the Money Laundering Regulations 2017 (UK Government, 2017). After that period, data will be securely deleted or anonymised.

13.4 Subject Rights

Each Party has rights to access, rectify, and request erasure of their personal data, subject to overriding legal obligations, in particular anti money laundering record keeping. Requests should be directed to the data protection contact recorded in Schedule 1.

13.5 Cross Border Transfers

If personal data is transferred outside the United Kingdom or the European Economic Area, for example to a cloud provider or a know your business vendor in a third country, Blockmediary will ensure that an appropriate transfer mechanism is in place, whether the United Kingdom International Data Transfer Agreement, European Union standard contractual clauses, an adequacy decision, or an equivalent mechanism.

14. Liability

14.1 Limitation

Blockmediary's liability to either Party under or in connection with this Agreement is limited to direct losses caused by Blockmediary's fraud, wilful misconduct, or gross negligence, and in any event to the amount of fees paid by the claimant Party to Blockmediary in connection with this Deal in the twelve months preceding the claim.

14.2 Exclusions

Blockmediary shall not be liable for loss arising from the quality, condition, or non delivery of goods, since Blockmediary releases funds on the basis of document compliance rather than goods receipt; loss arising from a Party's own misrepresentation in documents or in the know your customer process; loss arising from a smart contract exploit or a force majeure event beyond Blockmediary's reasonable control, provided Blockmediary has complied with its key management and audit obligations; or indirect or consequential loss, loss of profit, or loss of business.

14.3 Force Majeure

Neither Party shall be liable for delay or failure to perform caused by circumstances beyond their reasonable control. If a force majeure event prevents the Seller from shipping by the Shipment Deadline, the Parties may agree an extension by mutual amendment under clause 8.3.

15. Term and Termination

15.1 Term

This Agreement commences on the Effective Date and continues until the Deal reaches a terminal state, being Released, Refunded, or Cancelled.

15.2 Cancellation Before Funding

Either Party may cancel the Deal before the Buyer deposits the Escrow Amount. Cancellation is effected by written notice via the Blockmediary platform, and Blockmediary will call the cancel function on the Escrow Contract.

15.3 Survival

Clauses 10, being Dispute Resolution, 12, being Representations and Warranties, 13, being Data Protection, 14, being Liability, and this clause 15.4 survive termination or expiry of this Agreement.

15.4 Governing Law, Survival

The governing law clause at 10.5 and this survival clause survive any termination of this Agreement.

16. General

16.1 Entire Agreement

This Agreement, including all Schedules, constitutes the entire agreement between the Parties relating to the escrow arrangement and supersedes all prior representations about it. It does not affect or replace the Parties' underlying sale contract.

16.2 Amendments

This Agreement may only be amended by mutual written agreement of all three parties recorded in the Blockmediary platform. Amendments to the Release Rules require a new Deal under clause 8.3.

16.3 No Assignment

No Party may assign or transfer their rights or obligations under this Agreement without the prior written consent of the other Parties, except that Blockmediary may assign its rights and obligations to a group company or to a successor entity acquiring all or substantially all of Blockmediary's business.

16.4 Severability

If any provision of this Agreement is held invalid or unenforceable, the remaining provisions continue in full force.

16.5 Notices

Notices under this Agreement shall be given via the Blockmediary platform's notification system, or by email to the address registered by each Party. Notices are effective on delivery confirmation.

16.6 No Third Party Rights

This Agreement does not confer any rights on third parties under the Contracts (Rights of Third Parties) Act 1999 (UK Government, 1999), except that any successor or assignee of Blockmediary may enforce clause 14, being Liability.

Schedule 1: Deal Terms and Release Rules

This Schedule is completed for each Deal and is incorporated into, and governed by, the Trade Escrow Agreement.

Deal Terms

Deal ID The identifier matching the on chain deal identifier.

Escrow Contract address

The address on the Blockchain at which the Escrow Contract is deployed.

Blockchain Base Sepolia or Base Mainnet, with the corresponding chain identifier.

Buyer legal name and wallet address

As provided by the Buyer at onboarding.

Seller legal name and wallet address

As provided by the Seller at onboarding.

Settlement Token

USDC or EURC.

Escrow Amount The amount in the Settlement Token, expressed in minor units.

Invoice Currency

The currency stated in the commercial invoice, being United States dollars, euro, or pounds sterling.

Goods description and Harmonised System code

As provided at deal setup.

Incoterm The applicable Incoterms 2020 rule and named port or place.

Trade corridor The origin country and destination country.

Funding Deadline

The date by which the Buyer must deposit the Escrow Amount.

Shipment Deadline

The latest shipment date evidenced by the transport document.

Submission Deadline

The latest date for the Seller's document presentation.

Objection Window

Defaulting to forty eight hours after the Notice of Release.

Value cap

Defaulting to fifty thousand pounds sterling equivalent; above this, human reviewer sign off is required.

Governing law

English law by default, or an alternative as agreed by the Parties.

Dispute forum

As set out in Schedule 2.

Required Documents

The Incoterm selected for this Deal drives the baseline set of Required Documents. A commercial invoice is always required, and must be issued by the Seller, name the Buyer as consignee, state the Invoice Currency, and match the goods description in this Schedule. A packing list is always required, with quantities consistent with the invoice. An on board bill of lading is required for free on board, cost and freight, and cost, insurance, and freight sea shipments, and must carry an on board notation and date, name the vessel, and be clean, with no damage clauses. An air waybill is required for air shipments, with its date of issue serving as the shipment date. A road or rail transport document is required for land shipments, and a multimodal transport document is required for combined mode shipments. An export customs declaration is required for most Incoterms other than ex works. An insurance certificate or policy is required for cost, insurance, and freight terms, at a minimum of Institute Cargo Clauses C cover, and for carriage and insurance paid terms, at a minimum of Institute Cargo Clauses A cover, in both cases at no less than one hundred and ten per cent of the invoice value; cover notes are not accepted. A certificate of origin is required where a preferential tariff, a letter of credit condition, or a buyer requirement calls for one. An inspection certificate is required where quality or quantity verification has been specified, issued by the named inspector before shipment. An export licence is required where the goods fall on a controlled list. Import customs clearance evidence is required for delivered duty paid terms only. Any further document specific to this Deal is recorded separately in the deal setup record.

Release Rules

The following conditions must all be satisfied for a Compliant determination: every Required Document ticked above has been submitted; the invoice amount, converted to minor units, matches the Escrow Amount within the tolerance recorded at deal setup; the Seller name on the invoice matches the Seller named in this Agreement to a fuzzy match score of at least 0.8; the Buyer name on the invoice matches the Buyer named in this Agreement to the same

threshold; the invoice currency field matches the Invoice Currency recorded above; the shipment date evidenced by the transport document is on or before the Shipment Deadline; the transport document is clean, meaning free of damage, short shipment, or condition clauses; and, where insurance is a Required Document, the coverage is at least one hundred and ten per cent of the invoice amount. Any deal specific rule beyond this baseline set is recorded separately in the deal setup record.

Schedule 2: Dispute Forum

The first line forum for documentary disputes is the International Chamber of Commerce's DOCDEX procedure, which delivers a non binding expert opinion within thirty days (International Chamber of Commerce, 2015). All other disputes escalate to arbitration, either under the International Chamber of Commerce Rules of Arbitration or the London Court of International Arbitration Rules, in the version in force at the date of the dispute, with the seat of arbitration in London, England, and the language of proceedings English. The number of arbitrators defaults to one, reflecting that a single arbitrator is faster and less costly for typical small and medium sized enterprise deal values, though three arbitrators may be agreed for larger disputes. An emergency arbitrator is available under both the International Chamber of Commerce and London Court of International Arbitration Rules, which is relevant where injunctive relief is needed to prevent a fraudulent release.

This template is for internal Blockmediary team use and discussion. It is a working draft, not a final legal document. Qualified legal counsel admitted in the relevant jurisdiction should be sought before this Agreement is used with real parties or real funds. Certain provisions, including the signature method, governing law alternatives, dispute forum, value caps, and the Objection Window, remain open discussion points and require team agreement before finalisation.

References

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